

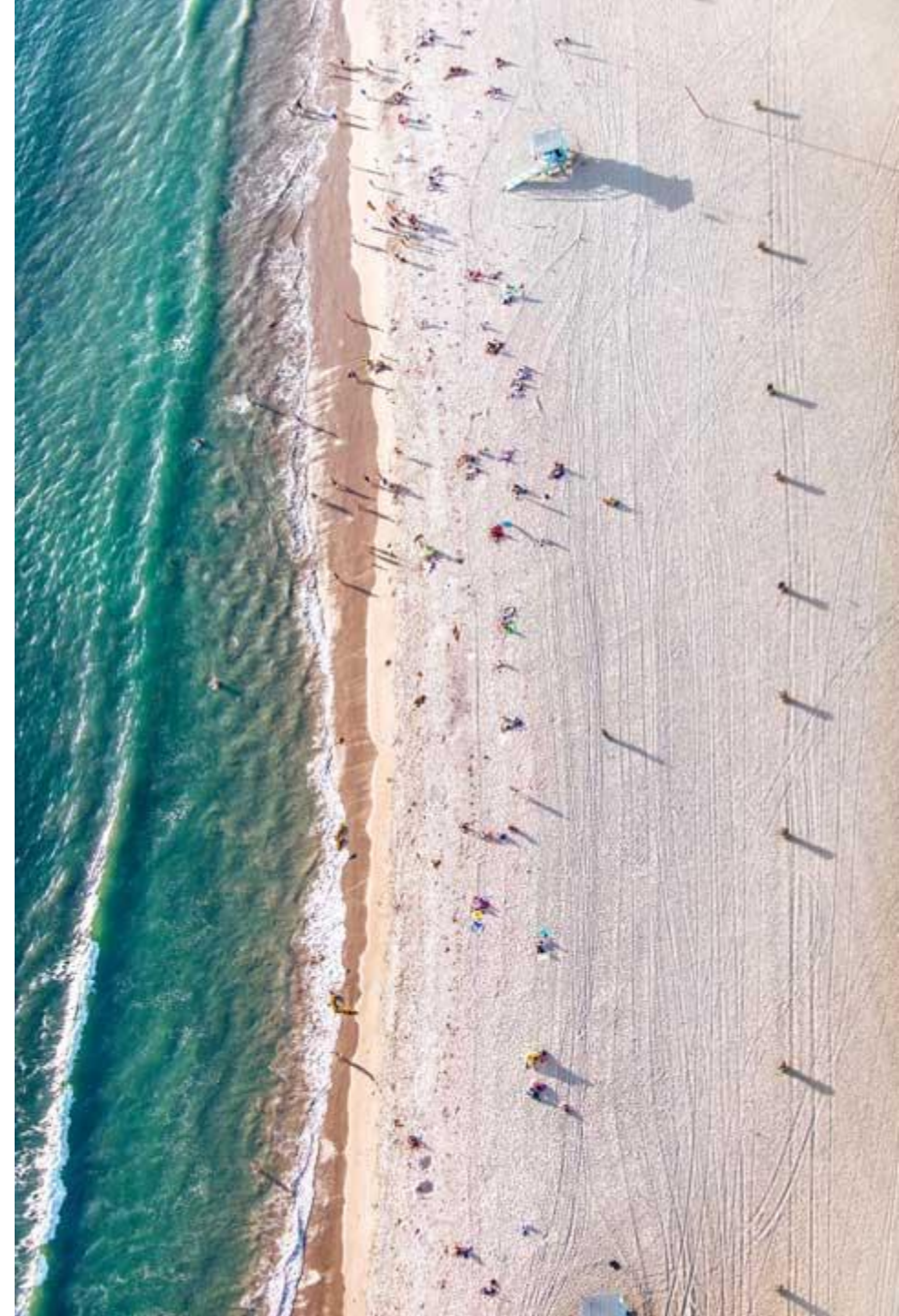
June 2020

Category review: Chips

Retail Analytics



Classification: Confidential



Our 17 year history assures best practice in privacy, security and the ethical use of data

We all have a responsibility to use data for good

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantum has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

Quantum believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

Executive summary

01

Chips category review

- Sales peaked precisely around **Christmas** and **New Year**, followed by a noticeable decline in the subsequent month.
- Multiple **Kettle chip** varieties, spanning different flavours, consistently led chip popularity throughout 2018 and 2019, while **Tyrells** began gaining traction in 2019
- **Older singles and couples** were the primary contributors to chip sales across all customer segments — budget, mainstream, and premium.
- The average price per chip significantly influenced purchase volume. Sales rose in **2018** due to **price reductions** across chip categories, which were used strategically to boost demand.

02

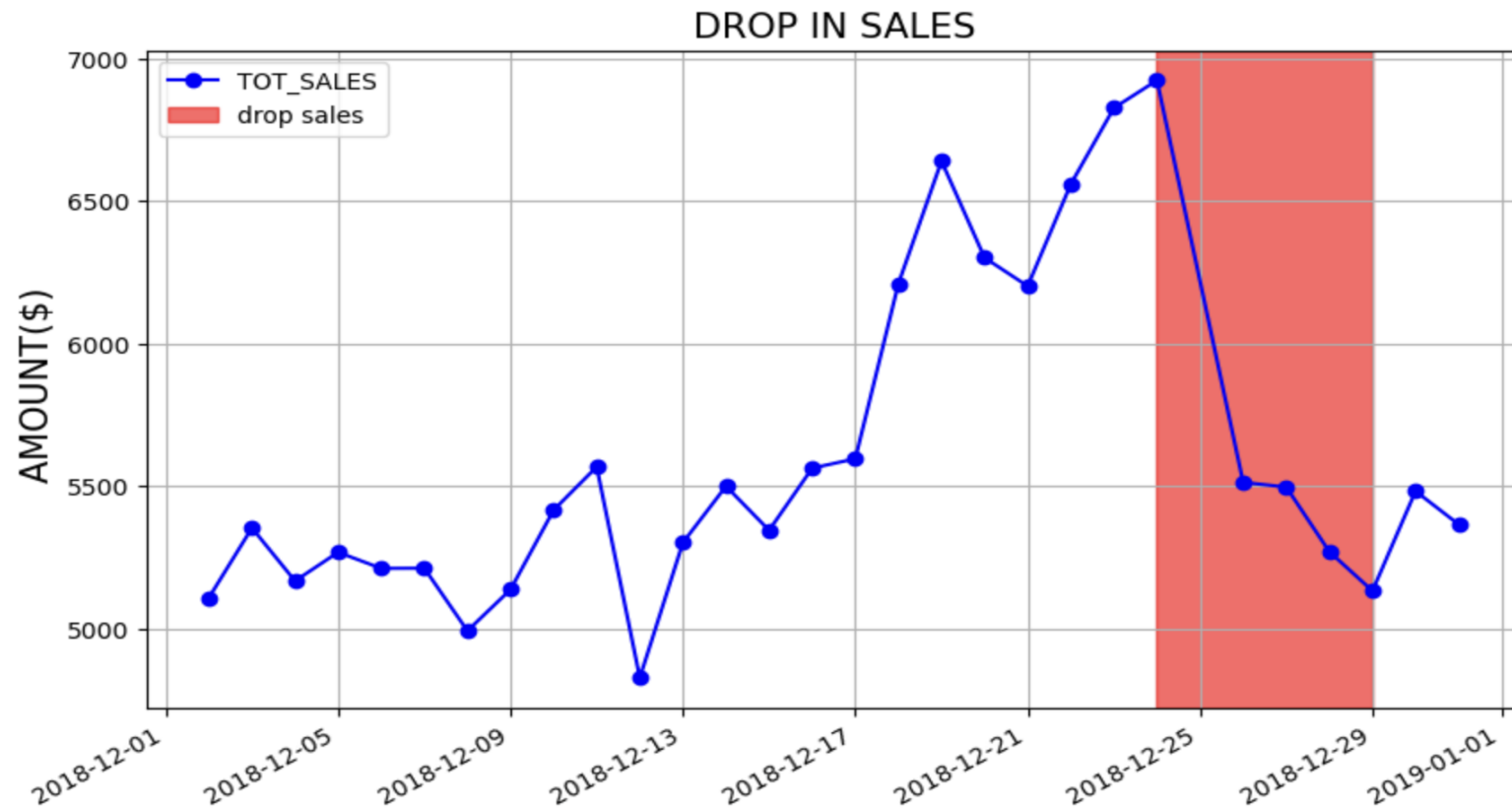
UPLIFT TESTING

- Trial stores 77 and 86 showed **strong sales uplift** during the campaign, with **February and April** being significant for Store 77, and **February and March** for Store 86. These results confirm that the campaign was effective in driving sales in both locations.
- Store 88 showed **significant uplift only in February**, with **muted results in March and April**. This suggests a potential issue in **execution or engagement**, and warrants a deeper review of how the campaign was implemented in this location.
- Control stores were carefully selected using correlation and magnitude distance methods across pre-trial metrics, ensuring reliable comparisons. This strengthens the **statistical validity** of the uplift observed in trial stores.
- Based on the clear uplift in Stores 77 and 86, the campaign strategy can be considered for **broader rollout** in similar store types. However, Store 88's limited response indicates a need to **review campaign consistency** and execution practices before scaling further.

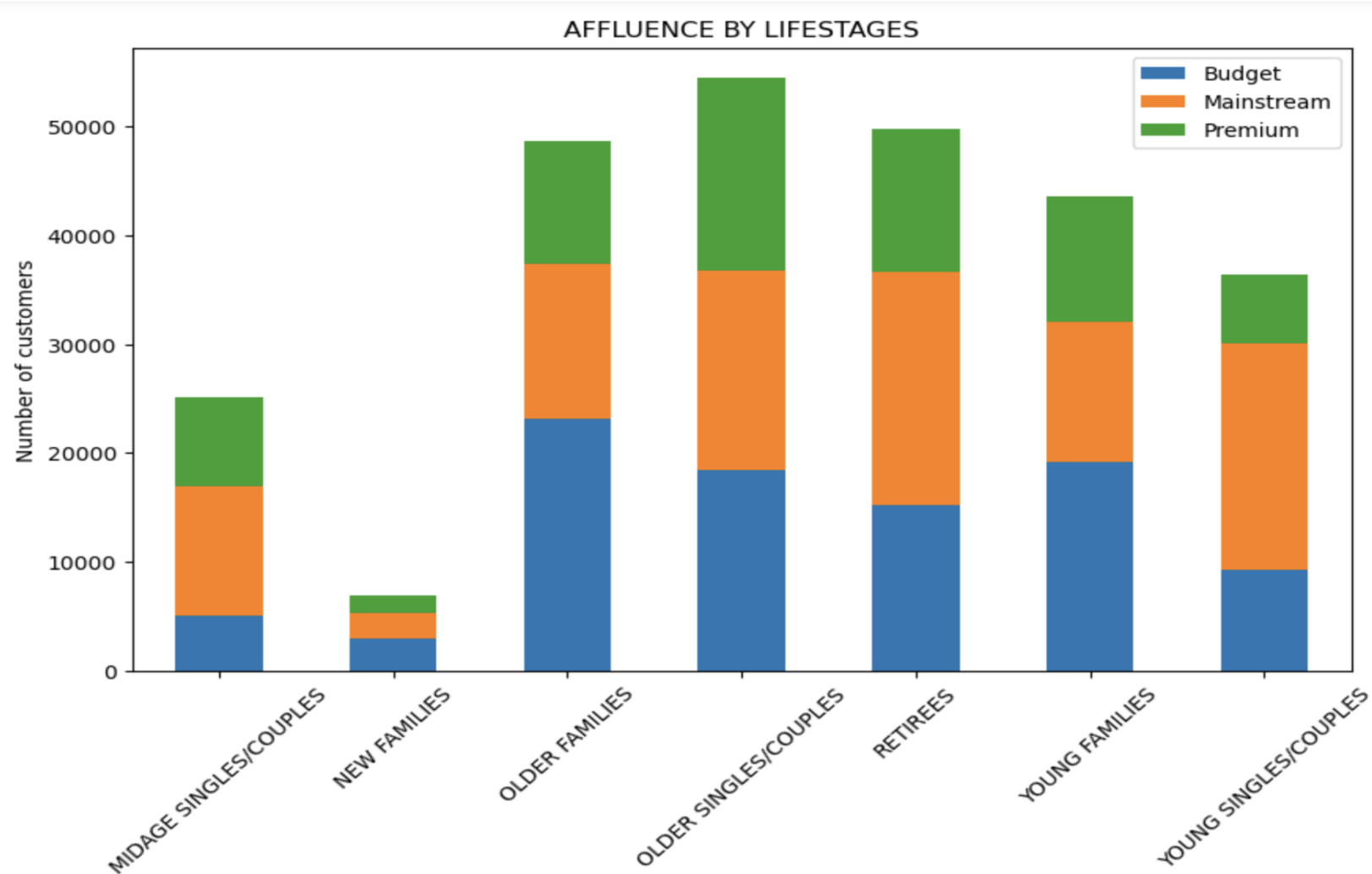
- 1) In August and September, an increase in average price coincided with a drop or slower rise in product sales, suggesting price sensitivity among customers.
- 2) November and December saw the lowest average prices, which aligned with a notable increase in product sales, especially in December, indicating higher price elasticity during holiday months
- 3) This inverse relationship highlights how pricing strategy directly impacts product movement, and adjusting prices strategically during key months could optimize both revenue and volume.



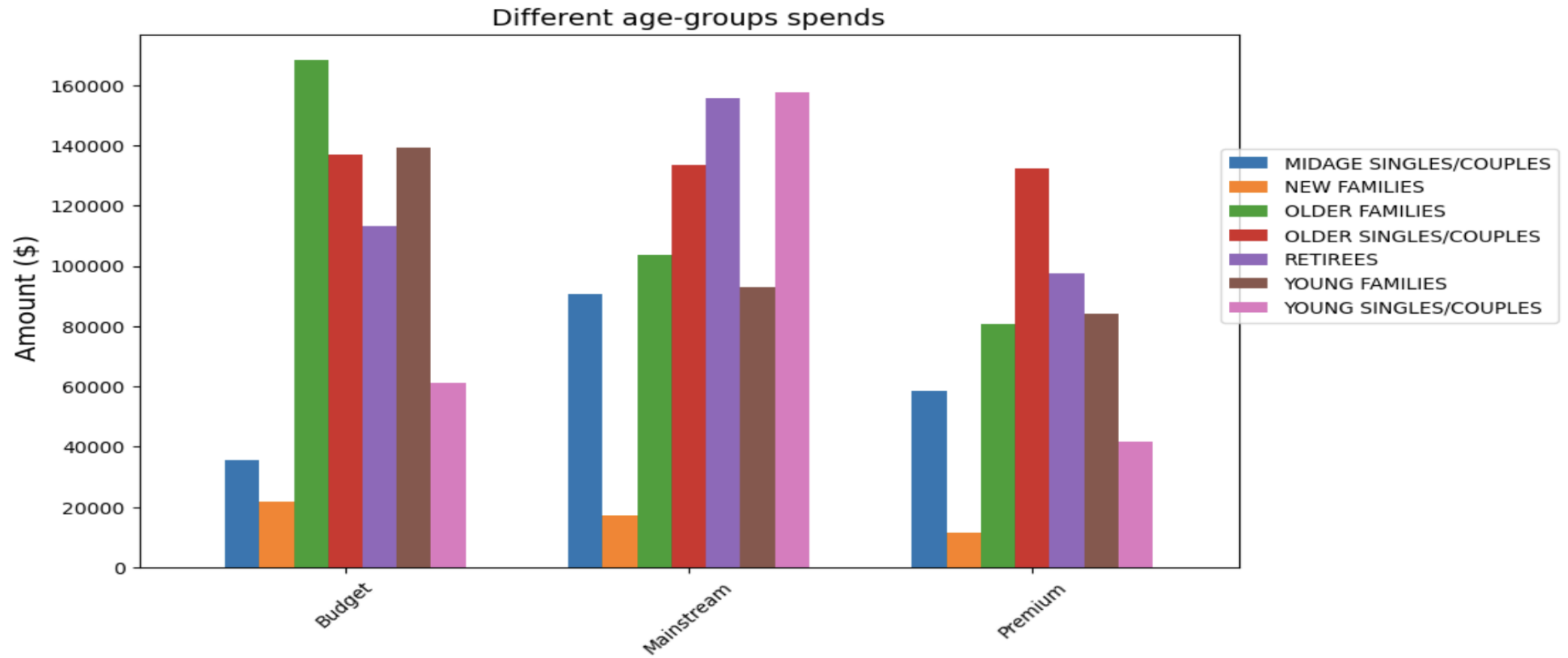
- Sales peaked just before December 25th, followed by a sharp and sustained decline through the end of the month.
- The post-Christmas dip is clearly highlighted, indicating a significant drop in consumer spending.
- This trend may reflect typical post-holiday slowdown and should be monitored in future cycles.



The majority of young singles and couples purchase chips while mainstream retirees also make a sizeable component of the market.



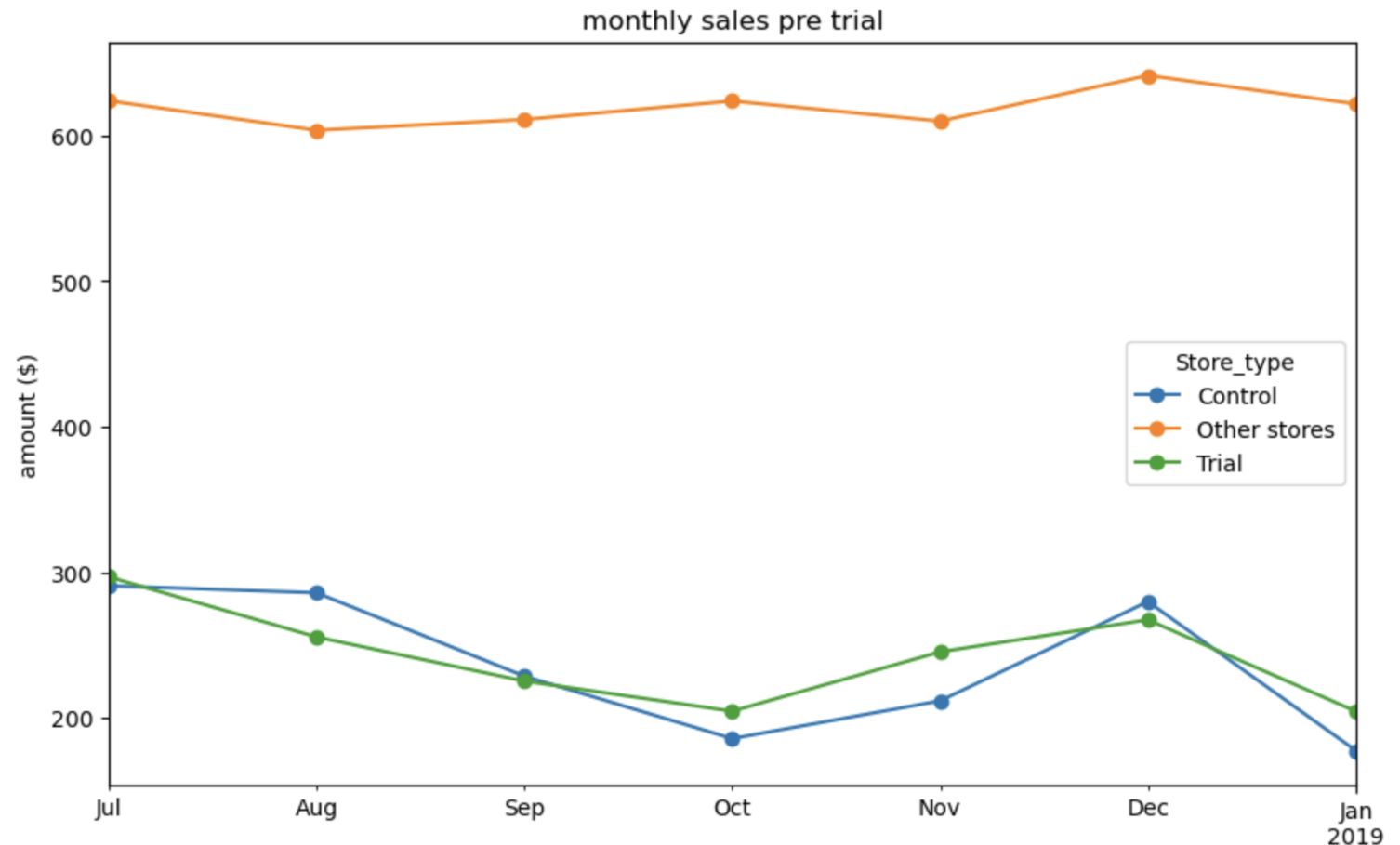
Overview: Across all categories, **older singles and couples consistently contribute the most to chip purchases**, particularly in the **budget and premium segments**. In contrast, **new families show the least engagement**, especially in the **mainstream and premium categories**, indicating a lower purchase tendency.



02

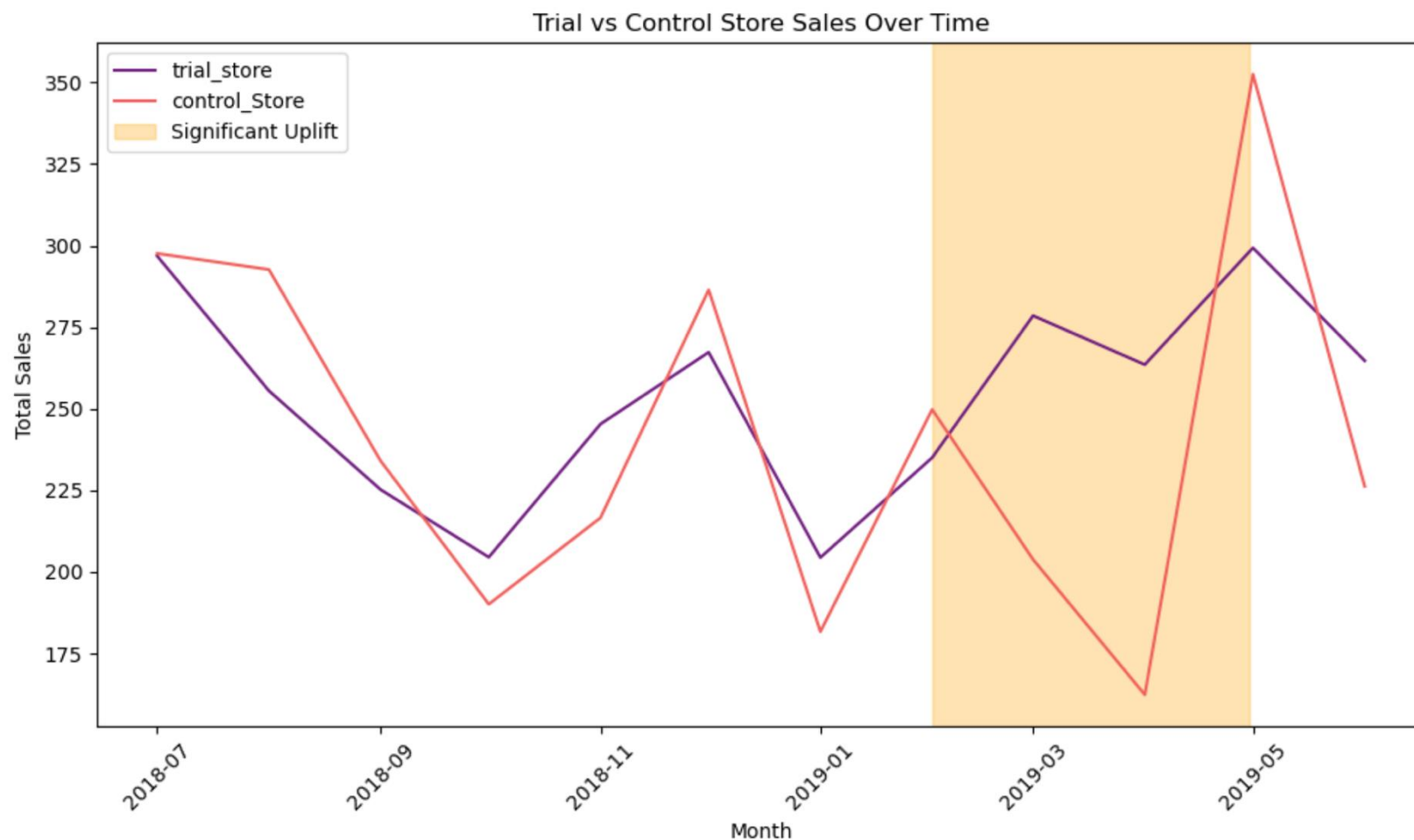
Trial store performance

- This is an illustration of trial store 77 against its twin store(control)233 where we see the overall performance seems quite relative.
- To further investigate, we ran an uplift test to see if the sales were significantly different.



RESULTS:

There is a definite **uplift** in sale in store number **77** compared to its twin store, which means the campaign ran in the stores did pull larger number in **sales of chips**. We reject the null hypothesis and say there is a **statistical significance** in sales of the store.





Disclaimer: This document comprises, and is the subject of intellectual property (including copyright) and confidentiality rights of one or multiple owners, including The Quantum Group Pty Limited and its affiliates (**Quantium**) and where applicable, its third-party data owners (**Data Providers**), together (**IP Owners**). The information contained in this document may have been prepared using raw data owned by the Data Providers. The Data Providers have not been involved in the analysis of the raw data, the preparation of, or the information contained in the document. The IP Owners do not make any representation (express or implied), nor give any guarantee or warranty in relation to the accuracy, completeness or appropriateness of the raw data, nor the analysis contained in this document. None of the IP Owners will have any liability for any use or disclosure by the recipient of any information contained in, or derived from this document. To the maximum extent permitted by law, the IP Owners expressly disclaim, take no responsibility for and have no liability for the preparation, contents, accuracy or completeness of this document, nor the analysis on which it is based. This document is provided in confidence, may only be used for the purpose provided, and may not be copied, reproduced, distributed, disclosed or made available to a third party in any way except strictly in accordance with the applicable written terms and conditions between you and Quantum, or otherwise with Quantum's prior written permission